

PEOPLE'S PUBLIC TRUST ECONOMIC ZONE 0001 — CALIFORNIA

PPT-EZ-CA-0001

312 Spring Commons

MASTER LEASE TERM SHEET

Proposed long-term public-owner / 312 Spring Commons operating structure

v0.2 • September 17, 2026

WORKING DRAFT / PROJECT ASSUMPTIONS

This document is a working project draft for discussion, diligence and counsel review. It distinguishes verified facts from working assumptions, target benchmarks and items to be determined. Nothing herein is an offer to sell securities, a guarantee of tax benefits, a commitment by any government agency, or a representation that the proposed public-benefit conveyance, financing, lease, technology benchmark or community-distribution structure has been approved.

1. Parties and Premises

LANDLORD / PUBLIC OWNER: Qualifying public grantee — TBD

TENANT / OPERATOR: 312 Spring Commons rehabilitation and operating entity — TBD

PREMISES: All or an approved portion of 312 N. Spring Street, together with access/use rights expressly described in the definitive lease; subject to retained federal/public uses, easements, restrictions and approved phased possession.

2. Transaction Purpose

The lease is intended to preserve fee title in a qualifying public owner while granting the approved operator sufficient long-term rights to rehabilitate, finance, program, lease and operate the Property in accordance with federal historic requirements, the Program of Preservation and Utilization, public-owner requirements and the definitive lease.

3. Target Term

Planning target: 50 to 99 years, subject to NPS/public-owner approval, government authority and tax-credit requirements. If federal Historic Tax Credits are pursued through a lessee structure, the definitive term must be evaluated by tax counsel against applicable Section 47 and recovery-period rules; no tax qualification is represented by this term sheet.

4. Rent / Consideration

TBD. The parties may consider nominal/base rent, participation rent, cost-recovery obligations, public-benefit commitments, rehabilitation commitments or other lawful consideration. Rent structure must be coordinated with federal covenants, public-law requirements, fair-market analysis where applicable, tax-credit structuring and NPS approval.

5. Permitted Uses

Use class	Illustrative scope
Public / civic	Library/knowledge commons, local history, legal/civic navigation, community services.
Education / workforce	AI literacy, skilled trades, restoration training, entrepreneurship, digital/financial literacy and credentialing.
Food / resilience	Community kitchen/incubator, food access/distribution, compatible growing/resilience uses subject to structural/historic approvals.
Small business / co-op	Affordable workspaces, cooperative incubation, shared back office and mission-compatible commercial uses.
Arts / culture / events	Maker, exhibition, convening, performance, cultural and historic interpretation uses.
Compatible commercial	Office, event, retail, hospitality and other revenue-producing uses approved by NPS/public owner.

6. Rehabilitation Obligations

- Tenant/operator to prepare and execute an approved rehabilitation program consistent with historic-preservation standards and required permits.
- Final scope, budget and schedule subject to independent diligence and public-owner/NPS approval.
- Project capital to be disbursed through agreed milestone/draw controls; no automatic smart-contract release without required professional and authorized human approvals.
- Change-order thresholds and contingency use to be defined in definitive documents.

7. Capital Structure and Financing Rights

- Fee title is not intended to be pledged or conveyed to project investors unless separately lawful and expressly approved.
- Leasehold financing, tax-credit structures, CDE/NMTC structures, tenant capital and project debt may be considered subject to public-owner, NPS, tax and financing approvals.
- Any leasehold mortgage or lender rights will be subordinate to federal deed restrictions, public title and reversionary interests and will require express approval.

8. Operating Revenue / Waterfall

Priority	Application
1	Gross operating revenue
2	Operating expenses, payroll, security, utilities and insurance
3	Approved financing / lease obligations
4	Repair, rehabilitation, restoration and maintenance
5	Approved reserves
6	Use of any excess only as permitted by federal law, deed restrictions, NPS-approved plan and public-owner requirements

9. Subleases / Occupancy Agreements

Operator may enter subleases, licenses, concessions, memberships or program agreements only within approved uses and subject to NPS/public-owner review requirements. Material subleases, tax-credit leases or assignments will require express approval.

10. Worker / Community Participation

The operator may create lawful worker-cooperative, patronage, credential, local-governance and community-benefit arrangements. No such right will be represented as fee ownership of the Property. Any security, investment contract or transferable economic interest requires separate securities counsel review and documentation.

11. M5 / TitleChain Controls and Digital Title-State

Proposed TitleChain / M5 Title-State Process

The project intends to use the TitleChain/M5 protocol as a parallel evidence, provenance and transaction-state layer around the legally authoritative deed and public records. The protocol is based on TitleChain's patented decentralized title-transfer and asset-provenance architecture, including U.S. Patent Nos. 11,720,888 and 12,518,273. The public deed and applicable government recording system remain legally authoritative unless applicable law provides otherwise.

Stage	Proposed M5 / TitleChain treatment
1. Asset identity	Register the physical asset, parcel/legal-description references, jurisdiction and source records.
2. Current title state	Record current titled owner as evidenced by authoritative public/federal records; link deed/title source.
3. Authority state	Register credentialed parties, legal capacity, agency, delegated authority and signature prerequisites.
4. Restriction state	Encode federal historic covenants, reversionary interests, easements, lease constraints and other restrictions as machine-readable policy references.
5. Transfer event	Upon lawful execution and recording, register the state transition and immutable evidence receipt.

6. Public-record reconciliation	Reference official deed/recording instrument, recording date/number, jurisdiction and public-record source.
7. Digital title-state representation	Maintain a non-fractional digital representation of asset/title state and rights metadata; it does not itself grant fee title or override the deed.
8. Ongoing state	Track operating lease, approved rights, financing interests, compliance events and material changes as separate rights layers.

- The definitive lease may require material lease, authority, approval, insurance, capital-draw, maintenance and compliance events to be represented in the TitleChain evidence layer, subject to privacy/public-record rules.
- M5Canon may express deterministic contract/policy gates; Jev or other AI may assist classification/routing; neither substitutes for the legal authority of the public owner, NPS, recorder, bank, licensed professionals or required human signatories.

Programmed Benchmark Objectives

These are target baselines the project is deliberately designing toward. They are not historical results, forecasts, guarantees, or representations of achieved savings. Each project is intended to measure actual performance against the same categories and publish variance from baseline.

Metric	Working baseline	Programmed goal	Measurement	Status
End-to-end transaction timeline	12 months working legacy baseline	2 months target	Elapsed days from defined start gate to defined closing/activation gate	TARGET
Human coordination labor	14,000 hours working baseline	3,000 hours target	Time-tracked legal/admin/project routing hours	TARGET
Administrative labor cost	\$2.10M baseline	\$0.45M target	Actual invoiced and internal labor cost	TARGET
Escrow & title friction	\$1.1475M baseline	\$0.459M target	Escrow/title/settlement/underwriting invoices	TARGET
Compliance/audit friction	\$0.45M baseline	\$0.15M target	Audit, reporting and compliance coordination cost	TARGET
Holding / capital drag	\$8.25M baseline	\$1.375M target	Interest reserve, security, insurance, delay and carry costs	TARGET
Total frictional cost	\$11.9475M baseline	\$2.434M target	Defined cost taxonomy applied consistently across projects	TARGET
Modeled friction reduction	\$9.5135M / 79.6%	Benchmark goal	Measured only after project completion	TARGET
Cost of money	TBD matched conventional financing	Reduce risk premium / fees / carry	Compare spreads, fees, reserves and effective annualized cost	MEASURE
Third-party systems / agents	TBD at baseline mapping	Minimize duplicated state + unnecessary calls	Count systems, integrations, model calls and manual reconciliations	MEASURE

Internal ranking: each PPT project may receive a Commons Performance Benchmark score after measurement. This is an internal operational benchmark, not a credit rating, investment rating or government certification.

12. Maintenance, Compliance and Inspection

- Operator responsible for routine maintenance and approved capital maintenance as allocated in definitive documents.
- Public owner/NPS retain inspection and compliance rights required by law/deed/lease.
- Annual operating, preservation, insurance, financial and benchmark reporting requirements to be defined.

13. Insurance / Bonding

TBD based on project risk, public-owner requirements and construction/operations. Expected categories may include builder's risk, general liability, workers' compensation, property, pollution/environmental liability, professional liability, cyber, directors/officers where applicable and performance/payment bonds or equivalent protections.

14. Default / Cure / Reversion

Definitive lease will address monetary and non-monetary defaults, cure rights, step-in rights, lender/tax-credit investor notices if lawful, termination, restoration of possession and the relationship between lease default and any federal reversionary rights. No private party will have rights that override the federal deed or lawful public-owner obligations.

15. Conditions to Lease Effectiveness

1. Federal conveyance path approved and public owner authorized.
2. NPS approves the Program of Preservation and Utilization and lease structure as required.
3. Title/deed/survey/easement package accepted.
4. Rehabilitation plan, operating plan and capital stack accepted.
5. Tax-credit / financing structure approved as applicable.
6. Insurance/bonding satisfied.
7. All required public approvals and signatures obtained.

16. Non-Binding Term Sheet

This term sheet is non-binding and intended only as a basis for negotiation. No leasehold estate, possession right, financing right, tax benefit or operating authority exists until definitive documents are lawfully authorized and executed.

Selected Source Notes

- Project feasibility source: 312 N. Spring Street Acquisition Feasibility Brief, September 16, 2026.
- GSA: U.S. Courthouse, 312 N. Spring Street, Los Angeles; federal historic-building profile and disposition materials.
- 40 U.S.C. § 550(h): Historic monument conveyances may be made without monetary consideration to eligible state/local public entities, subject to statutory conditions.
- National Park Service, Historic Surplus Property Program: private/not-for-profit organizations cannot directly acquire under the program but may enter long-term leases with public recipients; NPS reviews leases and rehabilitation standards.
- IRS Section 47 / Form 3468 guidance: federal rehabilitation credit equals 20% of qualified rehabilitation expenditures and is generally allowed ratably over five years; long-term lessee rules require tax counsel analysis.
- CDFI Fund, New Markets Tax Credit Program: qualifying investors receive a credit totaling 39% of the qualified equity investment over seven years through certified CDE structures.
- USPTO / patent records: U.S. Patent Nos. 11,720,888 and 12,518,273, Decentralized title transfer and validation of assets.

M5Canon v0.2 Updates

Lease Rights, CER and Term Control

- Any lease term shown in digital systems must be imported from the executed lease and authoritative amendments. Planning references to a 50- to 99-year range do not create a fixed term.
- If the parties create a CER associated with defined leasehold/economic rights, control of that CER is distinct from fee title and does not expand the lease beyond its executed terms.
- Protocol registration, suspension or revocation affects only TitleChain/PPT network status unless a separate legal instrument expressly gives it additional effect.

M5Canon v0.2 Conformance and Authority Hierarchy

This document is governed by the M5Canon authority hierarchy for PPT-EZ-CA-0001. An authoritative legal act, executed instrument, government record or legally authorized person or institution establishes the legal right or status. A

Ricardian contract expresses the authorized right in human-readable and machine-readable form. Deterministic code may validate, constrain, route and enforce only authority already granted. Jev, language models and other probabilistic systems may classify, score, explain and route, but they do not create legal authority. TitleChain records provenance, state, restrictions, authority and receipts. If digital state conflicts with authoritative legal evidence, execution must halt and route to reconciliation and authorized human review.

Clean Document-Control Status

Document control: human-controlled project draft assembled from project source material and reviewed under M5Canon document-control rules. No embedded generative media, comments, tracked changes, hidden prompts, content-control tags or authoring metadata are intended to be present.